

Hindustan Aeronautics Ltd

HAL

3816.6%
ROE

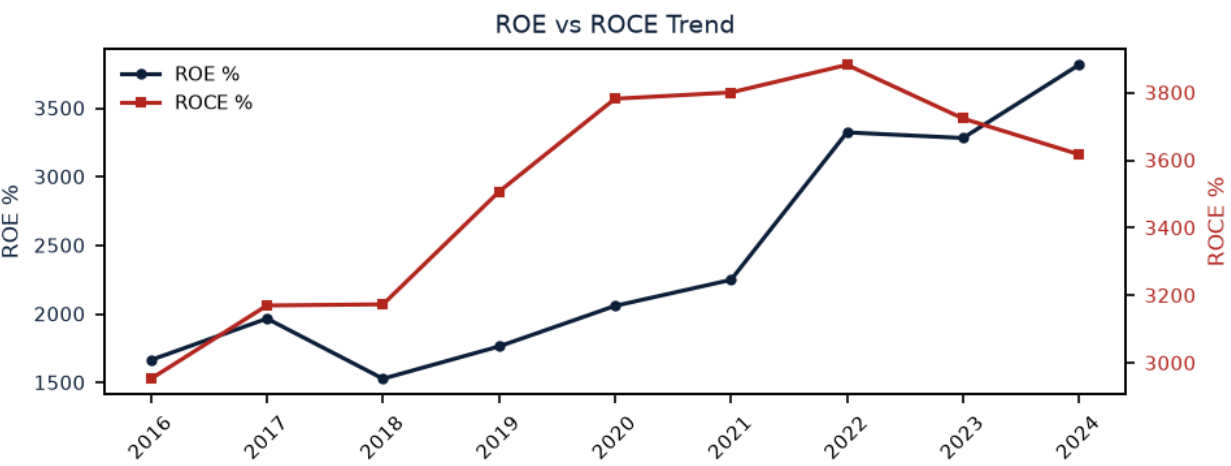
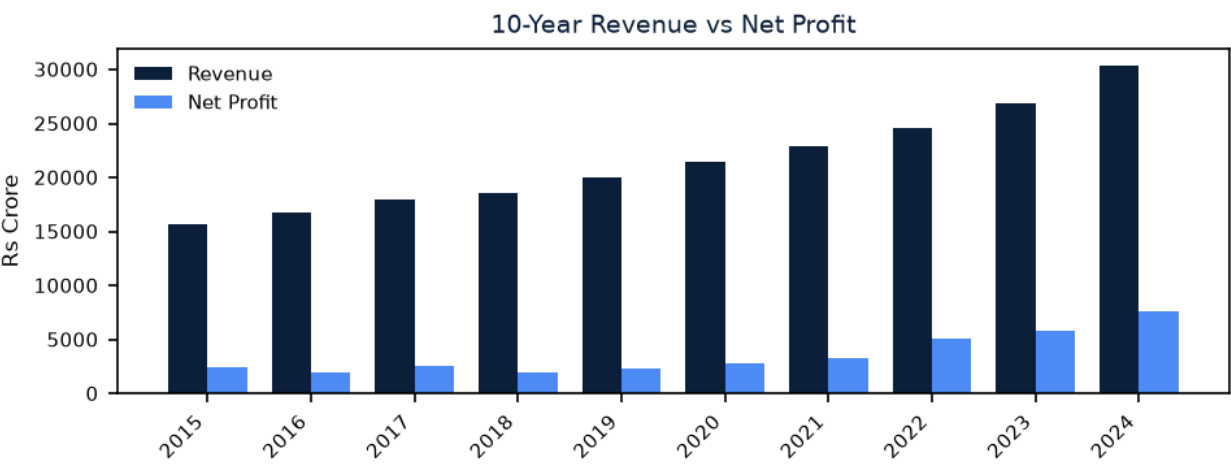
3617.4%
ROCE

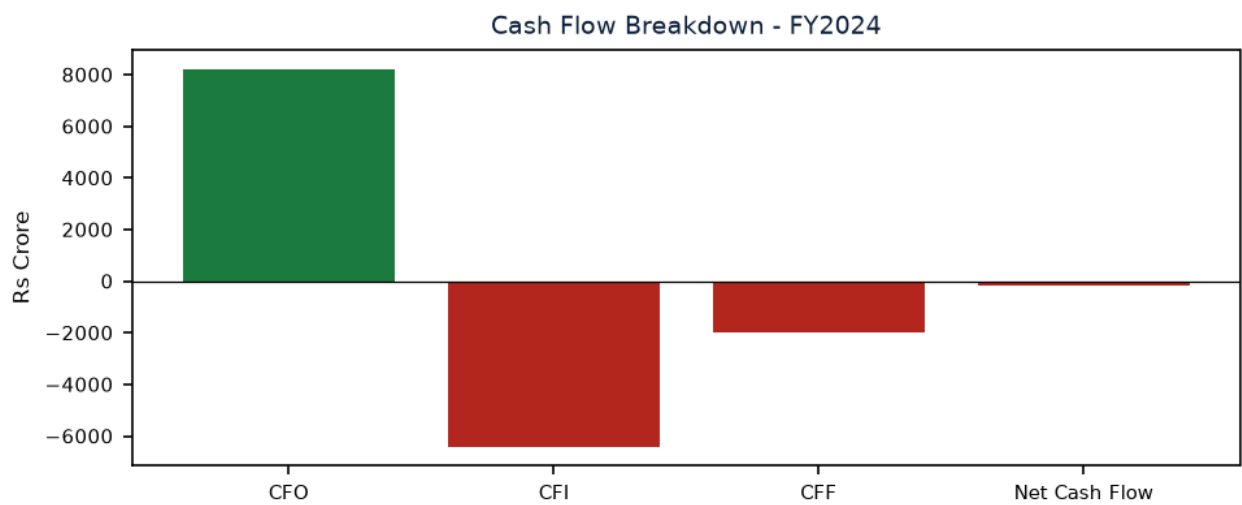
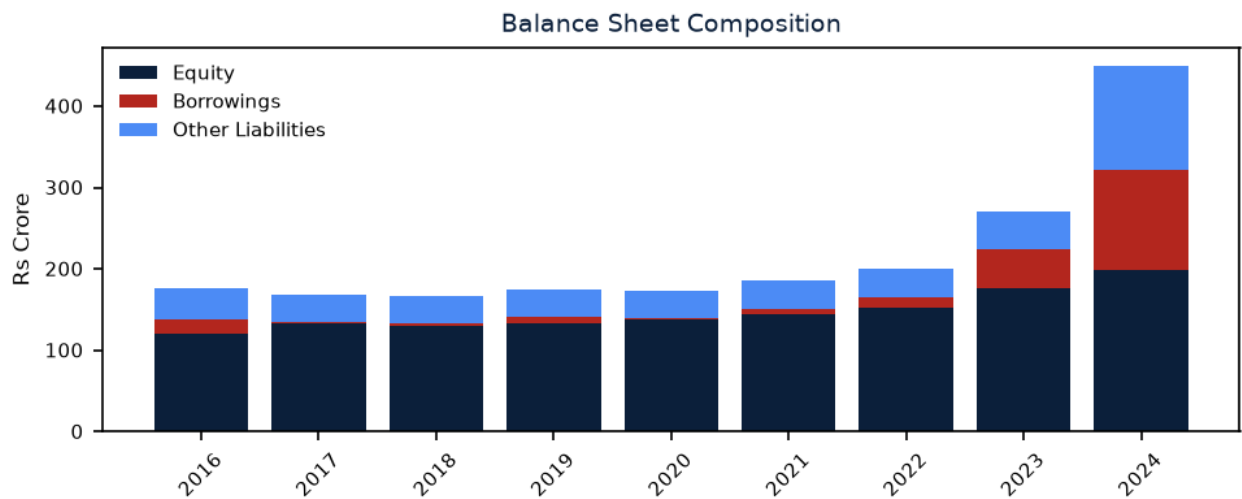
0.6x
D/E

32.1%
OPM

8.7%
Revenue CAGR 5yr

26.5%
PAT CAGR 5yr





Pros

- + Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- + Revenue growing slower than profits shows improving operating leverage and scale benefits
- + Very high interest coverage ratio reflects negligible financial stress from debt servicing
- + Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation Pattern

Reinvestor